

Why Matching Platforms Go Unregulated

Traceability, Retrospective Voting and Platform Disclosure

Lucas Pollock Muguruza*

This version: October 2026

Abstract

Matching platforms in partner and labour markets earn revenue while users search, and therefore have weak incentives to disclose information that would shorten search. I ask why this inefficiency persists politically, despite intense public grievance about both markets. I embed a reduced-form platform in the canonical sanctioning model of retrospective voting. Because voters evaluate incumbents through realised market outcomes, the electoral return to mandating disclosure depends on the platform's effect relative to outcome noise, which I call the traceability ratio, and not on how poor outcomes are on average. When the platform can lobby, regulation occurs only for intermediate stakes: the electoral return to regulation is bounded by the value of office, while the platform's opposition grows with what disclosure would cost it, so the most consequential mandates are the least likely to pass. The model yields testable predictions on when efficiency-based regulation of platforms should emerge.

JEL codes: D72, D83, L51, L86.

Keywords: matching platforms, information disclosure, retrospective voting, traceability, regulation.

*PUBLIC (Solita), London. Email: lucas-pollock@outlook.com. Preliminary and incomplete; comments welcome. All errors are my own.

1 Introduction

Online platforms now intermediate a large share of matching in both partner and labour markets. Meeting online has become the most common way for couples in the United States to meet (Rosenfeld et al., 2019), and job search is now conducted predominantly through online platforms (Kircher, 2022). These platforms hold information that could improve matching, such as which applications succeed, at which stage a candidate is rejected, and which partners or vacancies are likely to be compatible. They disclose little of it.

Recent theory explains why. When a platform’s revenue accrues per period of use, through subscriptions or advertising, a successful match ends the revenue stream. Antler et al. (2023) show that a monopoly platform has incentives to reduce search frictions but not to improve the quality of the compatibility information it collects and shares. Gieselmann (2024) shows that a platform with rich data on its users may strategically lower match quality in order to prolong search. Both build on the insight that intermediaries may profitably divert their users’ search (Hagi and Jullien, 2011).

These results raise a political question that the literature has not asked. Outcomes in partner and entry-level labour markets are salient grievances, and the remedy, mandated disclosure, is identifiable and, in these models, efficiency-improving. Yet where governments regulate platforms, they do so on grounds of rights rather than efficiency: discrimination, privacy, the transparency of automated decisions and addictive design.¹ To my knowledge, no jurisdiction regulates matching platforms on the grounds that they slow or worsen matching. Why does a salient grievance with an efficiency-improving remedy fail to generate demand for that remedy?

I propose an answer based on traceability (Arnold, 1990). I embed a reduced-form version of the platform’s disclosure problem in the canonical sanctioning model of retrospective voting (Ferejohn, 1986; Austen-Smith and Banks, 1989). An incumbent can mandate disclosure at a private cost, and a voter observes only her realised market outcome, in which the platform’s effect is mixed with everything else that shapes search. Three results follow. First, the incumbent regulates if and only if the platform’s effect, measured relative to outcome noise, exceeds a threshold that depends only on the cost of regulating relative to the value of office (Proposition 1). Second, baseline market conditions drop out entirely: how poor outcomes are on average has no bearing on the incentive to regulate the platform (Corollary 1). Third, when the platform can lobby against regulation, mandates are enacted only for intermediate stakes, and the set of enacted mandates shrinks to nothing as outcomes become noisier (Proposition 2).

The model is deliberately simple, and each of its ingredients is standard. Its contribution is to connect the literatures on platform incentives and electoral accountability in order to explain a specific absence: efficiency-based regulation of matching platforms. It formalises Arnold’s traceability argument in a setting where a policy’s benefits are diffuse and arrive only through noisy outcomes, and it yields predictions that distinguish traceability from the

¹Examples include the recommender-system provisions of the EU Digital Services Act (Articles 27 and 38), the right not to be subject to solely automated decisions under Article 22 of the GDPR, the classification of AI systems used in recruitment as high-risk under Annex III of the EU AI Act, and New York City’s Local Law 144 on bias audits of automated employment decision tools.

alternative explanation that the issue simply lacks salience.

1.1 Related literature

The paper relates first to work on matching platforms. Beyond the papers above, [Halaburda et al. \(2018\)](#) show that platforms can compete by restricting the choices they offer, and [Kanoria and Saban \(2021\)](#) study how platform design can facilitate search. A cautionary strand shows that more information is not always efficient: [Romanyuk and Smolin \(2019\)](#) find that full disclosure can cause a market failure through excessive rejections. I take the efficiency gain from disclosure as given and discuss when it holds in Section 5. On the labour side, [Pallais \(2014\)](#) provides field-experimental evidence that public information about entry-level workers improves their subsequent employment, and that such information is under-provided because those who generate it do not capture its benefits.

Second, the political stage is the sanctioning model surveyed by [Persson and Tabellini \(2000, ch. 4\)](#) and [Ashworth \(2012\)](#). That noisier signals weaken electoral incentives is a well-known property of these models; the novelty here lies in the object of accountability, an incumbent's decision to override a private intermediary, rather than in the voting technology. Empirical work documents that voters attribute outcomes coarsely and reward or punish incumbents for events outside their control ([Healy and Malhotra, 2013](#); [Achen and Bartels, 2016](#)), consistent with the outcome-based evaluation I assume.

Third, the paper relates to the political economy of regulation and business power. [Arnold \(1990\)](#) argues that legislators act on harms that voters can trace to identifiable causes. [Olson \(1965\)](#) and [Wilson \(1980\)](#) explain why concentrated interests prevail over diffuse ones, and [Grossman and Helpman \(1994\)](#) provide the canonical model of policy influence by organised interests, a reduced form of which I use in Section 4. [Culpepper \(2011\)](#) shows that business power is greatest on low-salience issues, and [Culpepper and Thelen \(2020\)](#) argue that platform power rests partly on consumers' attachment to platforms. The present setting is distinctive in that the grievance is salient while its mechanism is not.

The remainder of the paper is organised as follows. Section 2 presents the platform's disclosure problem. Section 3 embeds it in a model of retrospective voting and derives the traceability threshold. Section 4 adds lobbying by the platform. Section 5 discusses empirical implications and limitations, and Section 6 concludes. Proofs not given in the text are in Appendix A.

2 The platform's disclosure problem

This section is a deliberately reduced form of [Antler et al. \(2023\)](#) and [Gieselmann \(2024\)](#). Its only purpose is to generate the wedge between the platform's and users' interests on which the political analysis rests.

A monopoly platform hosts a unit mass of users and chooses a disclosure policy $d \in \{0, 1\}$, for example whether to tell users why they were rejected. In each period, an active user matches with probability p_d , where $0 < p_0 < p_1 \leq 1$. Matched users leave the platform; there is no other exit and no discounting. While searching, a user pays the platform $r > 0$ per period, which may be a subscription fee or the attention cost of advertising, and bears a private search cost $c > 0$. A match is worth v to the user.

Search time is geometrically distributed, so a user expects to spend $1/p_d$ periods on the platform. Expected user utility, platform revenue and total surplus are therefore

$$U(d) = v - \frac{c+r}{p_d}, \quad R(d) = \frac{r}{p_d}, \quad W(d) = U(d) + R(d) = v - \frac{c}{p_d}. \quad (1)$$

Assumption 1 (Participation). $v > (c+r)/p_0$, so that all users join the platform under either policy.

Lemma 1 (Disclosure wedge). *A platform with per-period revenue chooses $d = 0$, whereas total surplus is maximised at $d = 1$.*

Proof. By (1), $R(d)$ is decreasing in p_d , so $R(0) > R(1)$, while $W(d)$ is increasing in p_d , so $W(1) > W(0)$. ■

Remark. The wedge arises from the business model rather than from disclosure itself. A platform that charged a single upfront fee F would choose $d = 1$ and set $F = v - c/p_1$, extracting the efficient surplus. This mirrors the result in [Gieselmann \(2024\)](#) that efficient matching is optimal under full-extraction participation fees; why platforms instead use per-period pricing is analysed there and taken as given here.

Let $\Theta \equiv 1/p_0 - 1/p_1 > 0$ denote the additional expected periods of search when the platform withholds information. The user's gain from mandated disclosure, the platform's loss and the net efficiency gain are

$$\Delta \equiv U(1) - U(0) = (c+r)\Theta, \quad \Lambda \equiv R(0) - R(1) = r\Theta, \quad \Delta - \Lambda = c\Theta > 0. \quad (2)$$

Mandated disclosure is therefore efficient, but its benefits are spread across users while its costs fall on a single firm.

3 Electoral accountability and regulation

3.1 Environment

The political stage follows the sanctioning model of retrospective voting with normally distributed noise ([Ferejohn, 1986](#); [Persson and Tabellini, 2000](#)). The only new element is the incumbent's action, which overrides the platform's choice in Lemma 1. The timing is as follows.

- (i) A representative voter announces a retention rule.
- (ii) An incumbent chooses $a \in \{0, 1\}$. Regulation ($a = 1$) mandates $d = 1$ and imposes a private cost $\kappa > 0$ on the incumbent, reflecting legislative effort, political capital and lost support from the platform.
- (iii) The voter experiences the market outcome

$$y = \mu + \Delta a + \eta, \quad \eta \sim N(0, \sigma^2), \quad (3)$$

where μ denotes known baseline market conditions and Δ is the user gain in (2). The

shock η captures everything else that shapes the voter's experience of the market, such as labour demand, local sex ratios and idiosyncratic luck.

- (iv) The voter re-elects the incumbent if and only if $y \geq \bar{y}$. Office is worth $B > \kappa$ to the incumbent.

Assumption 2 (Outcome-based evaluation). The voter observes y but neither a nor the components of y .

Assumption 2 is the simplest formalisation of low traceability (Arnold, 1990). A disclosure mandate is technical and difficult for voters to value directly; its benefit reaches them only as better outcomes, which they cannot separate from other influences on their search.

I study subgame perfect equilibria. As in Ferejohn (1986), the challenger is identical to the incumbent, so the voter is indifferent at the election and any retention rule is sequentially rational. Since the voter strictly prefers regulation ($\Delta > 0$), I select the retention rule that maximises the incumbent's incentive to regulate.

3.2 The traceability threshold

Let Φ denote the standard normal distribution function. Given a rule $\bar{y}$, regulating raises the incumbent's probability of re-election by

$$G(\bar{y}) = \Phi\left(\frac{\mu + \Delta - \bar{y}}{\sigma}\right) - \Phi\left(\frac{\mu - \bar{y}}{\sigma}\right). \quad (4)$$

Lemma 2 (Optimal retention rule). G has a unique maximiser $\bar{y}^* = \mu + \Delta/2$, at which

$$G^* \equiv G(\bar{y}^*) = 2\Phi\left(\frac{\Delta}{2\sigma}\right) - 1. \quad (5)$$

The voter rewards any outcome above the midpoint of the expected outcomes with and without regulation. The incumbent compares the resulting electoral gain with the cost of regulating.

Proposition 1 (Traceability threshold). The incumbent regulates if and only if $B G^* \geq \kappa$, or equivalently

$$\frac{\Delta}{\sigma} \geq \tau^* \equiv 2\Phi^{-1}\left(\frac{1}{2} + \frac{\kappa}{2B}\right). \quad (6)$$

Proof. The incumbent regulates if $B G^* \geq \kappa$. By (5), this is equivalent to $\Phi(\Delta/2\sigma) \geq 1/2 + \kappa/2B$. Since $0 < \kappa < B$, the right-hand side lies in $(1/2, 1)$, so Φ^{-1} is well defined there, and since Φ is strictly increasing the inequality is equivalent to (6). ■

I refer to Δ/σ as the *traceability ratio*: the platform's effect on outcomes, measured in units of everything else that drives them. Figure 1(a) illustrates. For $\kappa/B = 0.2$, the threshold is $\tau^* \approx 0.51$, so the platform's effect must be about half a standard deviation of outcome noise before regulating pays.

Corollary 1 (Comparative statics).

- (i) The incumbent's decision is independent of baseline conditions μ .

- (ii) G^* is strictly increasing in Δ and strictly decreasing in σ , with $G^* \rightarrow 0$ as $\sigma \rightarrow \infty$. Hence, for any B and any $\kappa > 0$, regulation fails when outcomes are sufficiently noisy.
- (iii) The threshold τ^* is strictly increasing in κ/B .

Part (i) is the formal counterpart of the puzzle. A market in which outcomes are poor on average generates no additional pressure to regulate the platform, because the voter's benchmark moves with μ . What matters is whether the platform's contribution can be distinguished from everything else.

4 Organised opposition

The analysis so far treats the cost of regulating as exogenous. Yet the platform has a concentrated stake Λ in preventing regulation, while users are unorganised. I capture this with a reduced form of the single-lobby case of [Grossman and Helpman \(1994\)](#).

Assumption 3 (Lobbying). After the voter announces her rule and before the incumbent chooses, the platform may offer a transfer $T \geq 0$ conditional on $a = 0$. The incumbent's payoff is $B \cdot \Pr(\text{re-election} \mid a) - \kappa_0 a + T(1 - a)$, where $\kappa_0 > 0$ is the cost of regulating net of lobbying. Ties are resolved in favour of the platform.

The platform blocks regulation whenever the transfer needed to do so, $B G^* - \kappa_0$, does not exceed its loss Λ . Regulation therefore occurs if and only if $B G^* > \kappa_0 + \Lambda$. Using (2) and (5), both sides can be written as functions of the disclosure stakes Θ :

$$\underbrace{B \left[2 \Phi \left(\frac{(c+r)\Theta}{2\sigma} \right) - 1 \right]}_{\text{electoral gain}} > \underbrace{\kappa_0 + r\Theta}_{\text{cost including lobbying}}. \quad (7)$$

Proposition 2 (Regulation only for intermediate stakes). Under Assumption 3, the set of disclosure stakes $\Theta > 0$ for which the incumbent regulates is an open interval $(\underline{\Theta}, \bar{\Theta})$, which may be empty. The interval shrinks as σ increases, and is empty whenever

$$\sigma \geq \frac{B(c+r)}{r\sqrt{2\pi}}. \quad (8)$$

The electoral gain in (7) is concave in Θ and bounded by the value of office B , whereas the platform's opposition grows linearly with what disclosure would cost it. Small mandates are not worth the incumbent's effort, and large ones are blocked: the most consequential disclosure requirements are the least likely to be enacted. Noise compounds the effect by flattening the electoral gain, as Figure 1(b) shows.

5 Discussion

5.1 Empirical implications

The model's central claim is that the demand for efficiency-based regulation of platforms tracks traceability rather than grievance. This distinguishes it from an explanation based on salience alone, which would predict that pressure to regulate rises as market outcomes

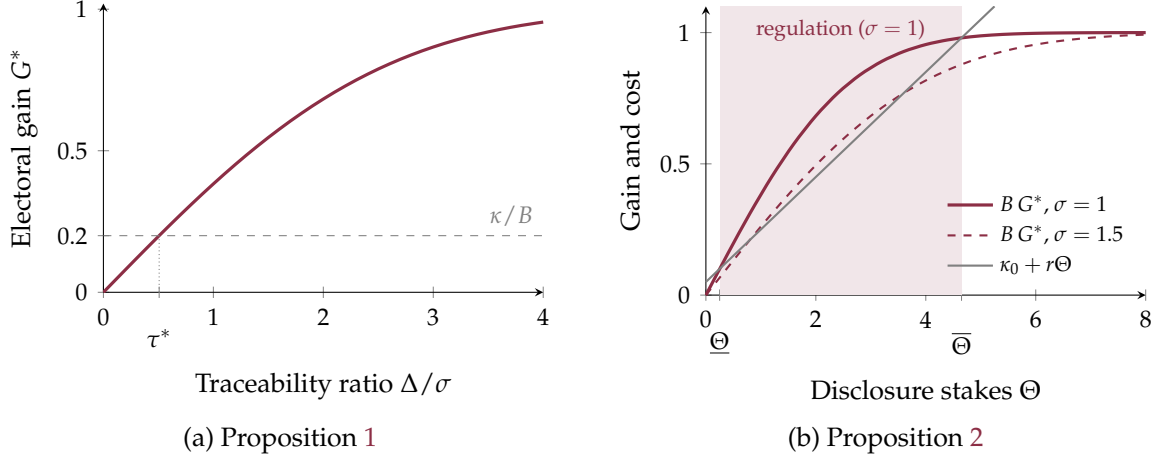


Figure 1: Electoral incentives to regulate. Panel (a): the incumbent regulates where $G^* \geq \kappa/B$, shown for $\kappa/B = 0.2$, so that $\tau^* \approx 0.51$. Panel (b): with lobbying, the incumbent regulates where the electoral gain lies above the cost line; the shaded band marks this interval for $\sigma = 1$. Parameters: $B = 1$, $\kappa_0 = 0.05$, $c = 0.8$, $r = 0.2$. Regulation occurs for $\Theta \in (0.25, 4.65)$ when $\sigma = 1$ and for $\Theta \in (0.80, 3.60)$ when $\sigma = 1.5$; by (8), it never occurs when $\sigma \geq 2$.

deteriorate. Three hypotheses follow.

Hypothesis 1 (Timing). Proposals to regulate matching platforms on efficiency grounds follow events that make the platform’s effect visible, such as leaked internal data, independent audits, litigation discovery or published platform experiments, rather than deteriorations in market outcomes.

Hypothesis 2 (Composition). Across jurisdictions, rights-based regulation of platforms is more common than efficiency-based regulation, because rights harms such as discriminatory rejections or data breaches are individually traceable events.

Hypothesis 3 (Individual demand). Within a market, support for disclosure mandates is higher among users who observe counterfactual outcomes, for example those who have used several platforms.

Hypothesis 1 could be examined with an event-study design using regulatory proposals and parliamentary activity around transparency shocks. Hypothesis 3 lends itself to a survey experiment that varies whether respondents are shown evidence of a platform’s effect on their own outcomes, holding information about market conditions fixed.

5.2 Limitations

The model has several limitations, each of which suggests an extension. First, it is a pure moral-hazard model. In a selection model, in which voters infer the incumbent’s type from outcomes (Fearon, 1999; Ashworth and Bueno de Mesquita, 2014), noise also affects what voters learn, and whether the traceability threshold survives is an open question. Second, the efficiency gain from disclosure is assumed rather than derived. Since disclosure can reduce match rates through cream-skimming (Romanyuk and Smolin, 2019), a fuller model should derive $\Delta > 0$ from primitives or state the conditions under which it holds. Third, the normal outcome y is a reduced form of the voter’s realised search experience, which in Section 2 is

geometric; this is a choice made for tractability. Fourth, the voter does not observe the policy. Allowing a fraction of voters to observe a directly would introduce a natural parameter for issue salience and allow the two explanations to be compared within the model. Finally, the platform is a monopolist. Competition need not reduce search diversion (Hagi and Jullien, 2014), which suggests that markets alone are unlikely to close the wedge, but this remains to be shown in the present setting.

A further extension concerns attribution errors. If voters attribute poor outcomes to themselves or to other groups rather than to market structure, the effective traceability ratio is lower still, and the grievance may be channelled into other political demands. I treat such spillovers here only as motivation.

6 Conclusion

Matching platforms that earn revenue while users search have an incentive to withhold information that would help users match. This paper has asked why democratic politics leaves that incentive untouched. In a simple model combining a reduced-form platform with the canonical sanctioning model of retrospective voting, an incumbent mandates disclosure only when the platform's effect on voters' outcomes is large relative to everything else that drives them. The level of grievance plays no role, and when the platform can lobby, the most consequential mandates are the least likely to pass.

The results suggest that the absence of efficiency-based regulation of matching platforms reflects the structure of electoral accountability rather than a lack of public concern. If so, policies that raise traceability, such as mandated audits or researcher access to platform data, may be preconditions for, rather than substitutes for, substantive regulation of how platforms match.

References

- Achen, C. H. and Bartels, L. M. (2016). *Democracy for Realists: Why Elections Do Not Produce Responsive Government*. Princeton, NJ: Princeton University Press.
- Antler, Y., Bird, D. and Fershtman, D. (2023). *Search, matching, and online platforms*. CEPR Discussion Paper 18719.
- Arnold, R. D. (1990). *The Logic of Congressional Action*. New Haven, CT: Yale University Press.
- Ashworth, S. (2012). Electoral accountability: recent theoretical and empirical work. *Annual Review of Political Science* 15: 183–201.
- Ashworth, S. and Bueno de Mesquita, E. (2014). Is voter competence good for voters? Information, rationality, and democratic performance. *American Political Science Review* 108(3): 565–587.
- Austen-Smith, D. and Banks, J. (1989). Electoral accountability and incumbency. In P. C. Ordeshook (ed.), *Models of Strategic Choice in Politics*. Ann Arbor, MI: University of Michigan Press.
- Culpepper, P. D. (2011). *Quiet Politics and Business Power: Corporate Control in Europe and Japan*. Cambridge: Cambridge University Press.
- Culpepper, P. D. and Thelen, K. (2020). Are we all Amazon primed? Consumers and the politics of platform power. *Comparative Political Studies* 53(2): 288–318.
- Fearon, J. D. (1999). Electoral accountability and the control of politicians: selecting good types versus sanctioning poor performance. In A. Przeworski, S. C. Stokes and B. Manin (eds), *Democracy, Accountability, and Representation*. Cambridge: Cambridge University Press.
- Ferejohn, J. (1986). Incumbent performance and electoral control. *Public Choice* 50(1–3): 5–25.

- Gieselmann, J. (2024). **(Mis-)Matchmaker**. Job market paper, Düsseldorf Institute for Competition Economics, Heinrich Heine University Düsseldorf.
- Grossman, G. M. and Helpman, E. (1994). Protection for sale. *American Economic Review* 84(4): 833–850.
- Hagiu, A. and Jullien, B. (2011). **Why do intermediaries divert search?** *RAND Journal of Economics* 42(2): 337–362.
- Hagiu, A. and Jullien, B. (2014). Search diversion and platform competition. *International Journal of Industrial Organization* 33: 48–60.
- Halaburda, H., Piskorski, M. J. and Yıldırım, P. (2018). **Competing by restricting choice: the case of matching platforms**. *Management Science* 64(8): 3574–3594.
- Healy, A. and Malhotra, N. (2013). Retrospective voting reconsidered. *Annual Review of Political Science* 16: 285–306.
- Kanoria, Y. and Saban, D. (2021). Facilitating the search for partners on matching platforms. *Management Science* 67(10): 5990–6029.
- Kircher, P. (2022). Job search in the 21st century. *Journal of the European Economic Association* 20(6): 2317–2352.
- Olson, M. (1965). *The Logic of Collective Action: Public Goods and the Theory of Groups*. Cambridge, MA: Harvard University Press.
- Pallais, A. (2014). **Inefficient hiring in entry-level labor markets**. *American Economic Review* 104(11): 3565–3599.
- Persson, T. and Tabellini, G. (2000). *Political Economics: Explaining Economic Policy*. Cambridge, MA: MIT Press.
- Romanyuk, G. and Smolin, A. (2019). **Cream skimming and information design in matching markets**. *American Economic Journal: Microeconomics* 11(2): 250–276.
- Rosenfeld, M. J., Thomas, R. J. and Hausen, S. (2019). Disintermediating your friends: how online dating in the United States displaces other ways of meeting. *Proceedings of the National Academy of Sciences* 116(36): 17753–17758.
- Wilson, J. Q. (ed.) (1980). *The Politics of Regulation*. New York: Basic Books.

A Proofs

Proof of Lemma 2. Let ϕ denote the standard normal density. Differentiating (4),

$$G'(\bar{y}) = \frac{1}{\sigma} \left[\phi\left(\frac{\mu - \bar{y}}{\sigma}\right) - \phi\left(\frac{\mu + \Delta - \bar{y}}{\sigma}\right) \right].$$

Since ϕ is symmetric and strictly decreasing in the absolute value of its argument, $G'(\bar{y}) > 0$ if and only if $|\mu - \bar{y}| < |\mu + \Delta - \bar{y}|$, that is, if and only if $\bar{y} < \mu + \Delta/2$, using $\Delta > 0$. Likewise $G'(\bar{y}) < 0$ for $\bar{y} > \mu + \Delta/2$. Hence $\bar{y}^* = \mu + \Delta/2$ is the unique maximiser, and substituting into (4) gives $G^* = \Phi(\Delta/2\sigma) - \Phi(-\Delta/2\sigma) = 2\Phi(\Delta/2\sigma) - 1$. ■

Proof of Corollary 1. (i) By (5), G^* does not depend on μ , and neither does the condition in Proposition 1. (ii) G^* is strictly increasing in Δ/σ because Φ is strictly increasing, and $G^* \rightarrow 2\Phi(0) - 1 = 0$ as $\sigma \rightarrow \infty$. Since $\kappa > 0$, there is then a $\bar{\sigma}$ such that $B G^* < \kappa$ for all $\sigma > \bar{\sigma}$. (iii) Φ^{-1} is strictly increasing. ■

Proof of Proposition 2. Given the voter's rule, the incumbent chooses $a = 1$ if and only if $B G^* - \kappa_0 > T$. The platform prefers to offer the smallest transfer that induces $a = 0$, namely $T = \max\{0, B G^* - \kappa_0\}$, whenever this does not exceed its loss Λ . Regulation therefore

occurs if and only if $B G^* - \kappa_0 > \Lambda$, which by (2) and (5) is condition (7).

Define $f(\Theta) \equiv B [2\Phi(k\Theta) - 1] - \kappa_0 - r\Theta$ with $k \equiv (c + r)/2\sigma > 0$. Then $f(0) = -\kappa_0 < 0$, and for $\Theta > 0$,

$$f''(\Theta) = 2Bk^2 \phi'(k\Theta) = -2Bk^3 \Theta \phi(k\Theta) < 0,$$

so f is strictly concave on $[0, \infty)$. Moreover, $f(\Theta) \leq B - \kappa_0 - r\Theta \rightarrow -\infty$. A strictly concave function that is negative at 0 and tends to $-\infty$ is positive on an open interval, possibly empty, which proves the first claim.

For fixed $\Theta > 0$, f is strictly decreasing in σ , so the set on which $f > 0$ shrinks as σ increases. Finally, since Φ is concave on $[0, \infty)$, $2\Phi(x) - 1 \leq 2\phi(0)x$ for $x \geq 0$. Hence

$$f(\Theta) \leq \Theta \left[\frac{B(c+r)}{\sigma\sqrt{2\pi}} - r \right] - \kappa_0,$$

which is negative for all $\Theta > 0$ whenever the bracket is non-positive, that is, whenever (8) holds. ■